

150-Day Moving Average (150MA) Trading Strategy

Strategy Documentation

Strategy Overview

The 150-Day Moving Average (150MA) strategy is a systematic approach to equity trading that identifies long-term trends and executes buy/sell decisions based on price action relative to the 150-day moving average. This trend-following methodology focuses on minimizing risk through strict entry/exit criteria and applies only to prequalified high-liquidity stocks.

Transaction Criteria

BUY Conditions

A buy position is initiated **only** when **all** of the following conditions are met:

1. **Price Relative to 150MA**

- Current stock price is **above** the 150MA.
- Price is within **0.5% to 5%** above the 150MA trendline.

2. **Trend Direction**

- The 150MA slope is **positive or neutral** (upward or sideways trend).

SELL Conditions

A sell position is triggered when **both** conditions below are met:

1. **Price Relative to 150MA**

- Current stock price is **below** the 150MA.

2. **Trend Direction**

- The 150MA slope is **negative** (confirmed downward trend).
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Stock Selection Criteria

The strategy is applied **exclusively** to stocks meeting the following requirements:

- **Asset Class:** Common stocks only (excludes indices, futures, or derivatives).
- **Market Capitalization:** Minimum \$2 billion USD.

- **Liquidity:** High trading volume to ensure minimal slippage and efficient order execution.
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Key Advantages

1. Risk Mitigation:

- Avoids volatile or illiquid assets.
- Requires confirmation of trend direction before entry.

2. Trend Alignment:

- Capitalizes on long-term momentum while filtering short-term noise.

3. Transparency:

- Rule-based system with clearly defined triggers.
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Implementation Notes

- **Rebalancing:** Positions are monitored daily; exits occur immediately upon meeting sell criteria.
 - **Data Requirements:** Clean historical price data with adjusted closing prices.
 - **Adaptability:** Parameters (e.g., 0.5–5% threshold) can be calibrated for specific risk tolerances.
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Disclaimer: This strategy is for educational purposes only. Past performance does not guarantee future results. Conduct independent due diligence before trading.